

▶▶▶

RK: *But given the standoff on our border with China, hasn't there been a reduction in the money allocated to the defence services?*

We have taken care of defence without any pilferages and also with the One Rank, One Pension scheme for our personnel. All of that never happened before. I would also like to highlight our defence preparedness in terms of the increased accessibility by road to the border areas.

▶▶▶

Siddharth Zarabi: *What is the status of public sector banks at present?*

For the past two years, the non-performing assets of public sector banks have been going down, while

their profits have been going up. The health of public sector banks in the last few years has improved considerably. They haven't sought funds for recapitalisation for the past three years. This indicates the health of Indian banks.

▶▶▶

UM: *Have you also thought about what is stoking so much job creation in nations such as Bangladesh and Vietnam?*

It would be very difficult for me to answer that question if you conflate us with Bangladesh and Vietnam. I am not refuting that they are doing well. However, they create certain kinds of jobs while India is at a stage where industries, while expanding capacity, are also looking at boosting productivity in terms of bringing in higher levels of tech such as Industry 4.0 and Web 3.0. My conversations with industry have revealed that they are on the lookout for people appropriately skilled for those jobs... We are rushing the certification of institutions that can train [people] for the industry.

▶▶▶

UM: *Why is the huge impetus to the credit cycle not happening in terms of greenfield projects?*

Then what are those immense achievements by the private sector in renewable energy? What about those component manufacturers getting into chip manufacturing? What about electronics? As I said, we have got much used to the core industries. However, even they have a challenge before them. Take the example of steel. No longer can the Indian steel industry claim that it's expanding and producing more steel. No longer can the industry expand capacity unless it is producing green steel. Existing steel will face prohibitive non-tariff barriers as the measure of quality is now green steel.

▶▶▶

SZ: *What's your philosophy behind sweetening the new tax regime? Some are saying it may lead to disincentivising savings. You first tried this in 2020...*

Not really. I couldn't have anticipated that in 2023, I would need people to spend more, so I brought in those measures in 2020. The new tax regime was brought in because we wanted a simplified and reasonably lower taxation rate, particularly for those people who are in the lower- and middle-income bands. Since we couldn't have done it in one go, we have gone about doing that steadily. That's why we have retained the old tax regime, whilst bringing and making the new tax regime even more attractive through easier compliance for those slabs that the majority of the Indian middle class belongs to. We haven't shut down the old tax regime because people are still using it. I am not forcing anyone to come into the new tax regime, but I would certainly like to make it more attractive so that people see some merit in coming into a system that is a lot simpler.

▶▶▶

SZ: *On tax slabs, if you're earning up to ₹15 lakh you are in the 20 per cent slab, but the moment you cross that threshold, you go to 30 per cent. The question people are asking is why isn't the rate of personal income tax the same as that of the corporate tax rate of 25 per cent?*

Interesting. Let me work on it the next time.

▶▶▶

RK: *You'll work on it next time?*

I will work [on it], but then I'm not promising anything!

▶▶▶

RK: *But this is an idea that appeals to you Finance Minister?*

◀ DECODING THE BUDGET

(From left) Anjana Om Kashyap, Senior Executive Editor, Special Projects, Aaj Tak; Rahul Kanwal, News Director, India Today and Aaj Tak, and Executive Director, Business Today; Union Finance Minister Nirmala Sitharaman; Udayan Mukherjee, Global Business Editor, Business Today; and Siddharth Zarabi, Managing Editor, Business Today TV

